UKRAINE

Table 1	2019
Population, million	44.3
GDP, current US$ billion	139.1
GDP per capita, current US$	3140.8
International poverty rate ($1.9)[a]	0.0
Lower middle-income poverty rate ($3.2)[a]	0.4
Upper middle-income poverty rate ($5.5)[a]	3.4
Gini index[a]	26.1
School enrollment, primary (% gross)[b]	99.0
Life expectancy at birth, years[b]	71.6

Source: WDI, Macro Poverty Outlook, and official data.
Notes:
(a) Most recent value (2018), 2011 PPPs.
(b) WDI for School enrollment (2014); Life expectancy (2018)

A significant contraction is expected for 2020 as a result of COVID -19. However, domestic demand is rebounding and Ukraine has entered the crisis in better macroeconomic condition than in previous crises due to prudent macroeconomic management over the past several years. Financing needs remain substantial over the medium term owing to a heavy debt redemption profile. Going forward, it will be critical to maintain reform momentum to anchor investor confidence and support economic recovery.

Recent developments

Ukraine's economy was hit hard by the COVID-19 outbreak during 2020. Overall, GDP declined by 11.4 percent YoY in the second quarter bringing 1H20 GDP decline to 6.5 percent YoY. However, the negative impact appears to be less severe than initially anticipated as the full-scale lockdown lasted only from mid-March to early-May and has been replaced by an adaptive quarantine that has enabled many services (except passenger transport) to return to normal functioning. Domestic demand was also supported by a recovery in real wages (up 4.8 percent YoY in June, versus -0.4 percent in April), and continued remittance inflows. On the supply side, metals and mining, and manufacturing have been significantly impacted by weak external demand.

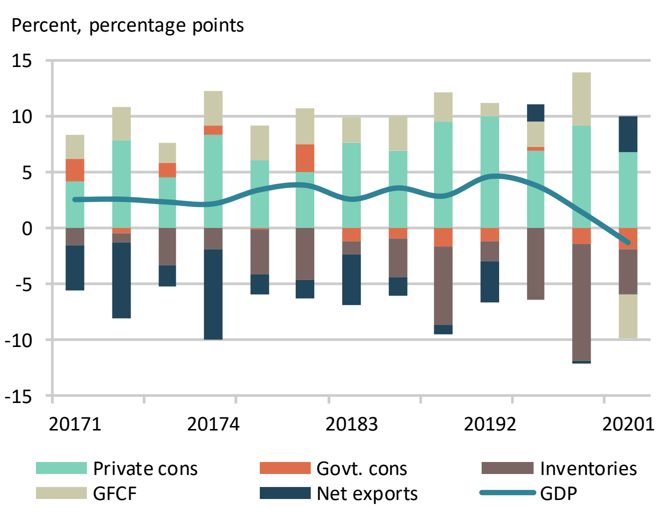
Improving terms of trade (due to lower energy prices and higher iron prices) and import compression (amidst slower investment activity) have contributed to a CA surplus of 4.8 percent of FY GDP in Jan-Jul Remittances have been relatively resilient, down 10 percent YoY in H1, while private capital inflows have also recovered following a brief period of limited outflows in the second quarter This has helped to reduce external financing needs and rebuild international reserves, which at US$28.5bn at end-July, amounted to about 4.6 months of next year's imports.

Since 2019, tight monetary policy, together with controls over public sector wages and current expenditures have helped to reduce inflation from over 9 percent in 2018 to 2.4 percent in July 2020, below the central bank's 5 percent inflation target, enabling it to cut its key policy rate by more than 10 percentage points to 6 percent in June 2020. With inflation expectations averaging 6.7 percent in August, real interest rates are close to zero and further easing may contribute to inflation pressures in light of more accommodative fiscal policy. Credit demand contracted in Q2, reflecting the impact of the COVID-19 shock. Banking liquidity remains supported by robust growth in deposits. At 25 percent, (Tier-2) capital buffers are well above regulatory minimums, while NPL coverage ratios amounted to 96.8 percent in Q2.

Fiscal pressures in 2020 arise from declining revenues, additional spending related to COVID-19 support measures, and large debt repayments coming due. As a result, a supplementary budget was passed in April which targeted a budget deficit of 7.6 percent of GDP (versus 2.5 percent in the original budget). However, H1 fiscal outcomes indicate an almost balanced budget reflecting low expenditure execution and better-than-expected revenue performance, and a deficit outturn of 5 percent of GDP is anticipated in 2020. Significant financing needs during 2020 have been alleviated by official EU and IMF financing of USD2.7bn, plus the issuance of USD1.3bn 12-year Eurobond in July. Domestic financing remains sufficient to cover domestic debt repayment needs.

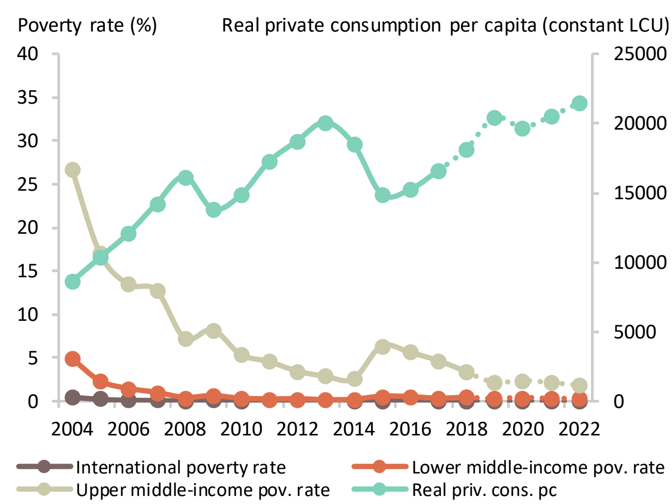
Moderate poverty (World Bank's national methodology for Ukraine) declined from a

FIGURE 1 Ukraine / Real GDP Growth and contributions to real GDP growth



Sources: UKRSTAT, World Bank.

FIGURE 2 Ukraine / Actual and projected poverty rates and real private consumption per capita



Source: World Bank. Notes: see table 2.

peak of 26.9 percent during the crisis of 2015 to an estimated 17.8 percent in 2019 due to reduction of unemployment rate to 8.6 percent and 9.8 percent growth in real wages. Disposable income grew by 6.6 percent in 1Q20, but the COVID-19 outbreak is likely to negatively impact employment and real wages and create conditions for an increase in poverty rates.

Outlook

The economy is expected to contract by 5.5 percent in 2020, as H1 weakness is only partly offset by a recovery in domestic demand in H2 and positive contributions from net exports. The baseline assumes some re-imposition of containment measures in response to a "second wave" (given that daily reported infections are still increasing) and a slower pace of reforms. Ukraine still expects to raise USD2.9bn in additional official financing (from the IMF, WB and EU) in the remainder of the year. If these funds are delayed, the Government will have to contain spending or borrow more domestically.

Going forward, growth is expected to remain modest at 1.5 percent in 2021, rising to about 3.7 percent by 2023. The outlook depends on the duration of the health crisis and reforms to address bottlenecks to investment and safeguard macroeconomic sustainability. With the recent loss of reform momentum, fixed investment is expected to reach its pre-crises level only at the end of 2022 and net exports (as import demand revives but the pace of export diversification remains slow) to continue to drag on growth in 2021.

Poverty based on the international US$5.5 a day poverty line is low in Ukraine and is expected to increase by 0.2pp in 2020. At higher thresholds, the poverty increase will be larger, with poverty based on the World Bank's national poverty line for Ukraine expected to increase by 2pp in 2020. Sustainable economic growth is needed to reduce poverty rates in the medium run.

Risks and challenges

Macro-fiscal risks relate to substantial funding needs over the medium term, with debt repayment needs estimated at above 7 percent of GDP in 2021 and 2022. Increasing global risk aversion could heighten financing pressures and costs of funding. The Government's initiative to increase minimum wages by 37 percent in 2021, if adopted, could push the fiscal deficit to over 6 percent of GDP and increase total financing needs to over 13 percent of GDP in 2021. Financing risks will remain high in the medium term, thus containing current expenditure pressures is needed to keep the fiscal deficit at more sustainable level, and also to anchor inflation expectations.

Increases in wages in the public sector will also need to be consistent with the direction of broader health and education reforms and correspond with growth in labor productivity. Strengthening safety nets is a priority, in particular through scaling up the targeted Guaranteed Minimum Income program.

Strong economic recovery remains constrained by low fixed investment, which has averaged 17.6 percent of GDP over the last five years. Reviving investment depends on progress with reforms that address: structural weaknesses in the financial sector (including limited progress in resolving non-performing loans); market distortions from the lack of an agricultural land market, an anticompetitive environment, and large numbers of SOEs, and macroeconomic vulnerabilities.

Finally, political and governance risks are high and increasing due to the deep-rooted influence of powerful vested interests that could derail or reverse ongoing reforms. Continued adherence to anti-corruption reforms and prudent macroeconomic policies is necessary to anchor investor confidence.

TABLE 2 Ukraine / Macro poverty outlook indicators (annual percent change unless indicated otherwise)

	2017	2018	2019	2020 e	2021 f	2022 f
Real GDP growth, at constant market prices	2.5	3.3	3.2	-5.5	1.5	3.1
Private Consumption	8.4	8.9	11.9	-7.3	3.2	4.1
Government Consumption	3.3	0.1	-5.0	3.0	-1.0	0.0
Gross Fixed Capital Investment	18.4	14.3	14.2	-15.0	8.2	5.2
Exports, Goods and Services	3.6	-1.6	6.7	-4.5	1.7	3.1
Imports, Goods and Services	12.8	3.2	6.3	-9.8	6.6	5.0
Real GDP growth, at constant factor prices	2.6	3.3	3.2	-5.7	1.3	3.0
Agriculture	-2.5	7.8	1.3	1.0	3.5	4.5
Industry	2.1	2.0	-2.0	-4.0	2.0	4.0
Services	3.7	3.0	5.4	-7.5	0.6	2.3
Inflation (Consumer Price Index)	13.7	9.8	4.1	4.8	5.0	5.0
Current Account Balance (% of GDP)	-2.1	-3.2	-0.9	1.5	-1.9	-2.2
Net Foreign Direct Investment (% of GDP)	2.1	1.9	2.1	2.1	2.5	2.7
Fiscal Balance (% of GDP)	-2.3	-2.0	-2.1	-5.0	-3.0	-3.0
Debt (% of GDP)	71.9	60.6	50.4	62.0	58.9	56.8
Primary Balance (% of GDP)	1.5	1.4	1.0	-1.3	1.6	1.3
International poverty rate ($1.9 in 2011 PPP)[a,b]	0.0	0.0	0.0	0.0	0.0	0.0
Lower middle-income poverty rate ($3.2 in 2011 PPP)[a,b]	0.3	0.4	0.2	0.3	0.2	0.2
Upper middle-income poverty rate ($5.5 in 2011 PPP)[a,b]	4.6	3.4	2.1	2.3	2.1	1.8

Source: World Bank, Poverty & Equity and Macroeconomics, Trade & Investment Global Practices.
Notes: e = estimate. f = forecast.
(a) Calculations based on ECAPOV harmonization, using 2018-HLCS. Actual data: 2018. Nowcast: 2019. Forecast are from 2020 to 2022.
(b) Projection using neutral distribution (2018) with pass-through = 0.87 based on private consumption per capita in constant LCU.